Chapter 4
Maintaining Equilibrium—Can China and the EU Balance Global Relations?

Tensions ranging from the Russia-Ukraine war to Israel's actions in the Middle East as well as other potentially dangerous flashpoints are exacerbating the imbalances in the global power structure and threatening overall global peace. To reestablish this balance and preserve peace, the major nations of the world must work together, but inward-looking policies by key powers are making this difficult.

The tension between a rising China and the United States, as described in the previous chapter, is one of the main impediments to maintaining this balance. In this environment that it is possible the European Union could be an alternative partner with which China could work to further promote a stable global environment and even possibly contribute to better US-China relations.

The historical connections between China and Europe provide a basis for a natural connection and cooperation between China and the EU. The Silk Road, which is now experiencing something of a renaissance in the form of the Belt and Road Initiative, has linked these two cradles of civilization for millennia. If these two global power centers could come to a consensus and work together, they could possibly contribute greatly to overall global stability, while also acting as a bridge between China and the US to foster discussion and mitigate conflict.

A Return to Multi-Level Exchange and Communication

In the aftermath of the COVID-19 pandemic, as face-to-face meetings started to resume, China and the EU led the charge with diplomatic exchanges and Track II channels being leveraged by both sides. Compared to the United States, the EU has traditionally been more inclined to engagement with China and a more multilateral approach, itself being a grand experiment in compromise and cooperation among nations that had experienced centuries of conflict.

The first article in this chapter, "Towards a New Pattern of China-EU Partnership with a Global Vision", focuses on the current state of global affairs as a turning point in European politics in facing its three major challenges—the Russia-Ukraine war, climate change and uncertainties in its transatlantic partnership—while also facing

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domestic issues with challenges from increasingly vocal nationalistic right-wing elements in society. Improvements in EU-China relations could help Europe manage these challenges. Considering the lack of geopolitical disputes between Europe and China, their long-standing trade relations and China's considerable efforts in mediating peace both in Ukraine and in other global conflicts, a new pattern in EU-China relations could ultimately lead to a new phase of globalization that makes the EU less dependent on the United States and more connected to a rising Global South.

The reelection of Donald Trump as President of the United States has been a rollercoaster ride for much of the world, including, perhaps surprisingly, traditional allies in Europe. For much of American history after World War II, and up until the end of the Biden administration, Europe and American were generally in sync in terms of global policies regarding both trade and geopolitics, but this is no longer the case under President Trump. The second article in this chapter, titled "As Trump's Trade War Gathers Steam, China and Europe Must Cooperate", focuses on how Trump's policies are forcing Europe to find alternative routes for trade and partnership, perhaps the most important of which is China. The possibilities for cooperation range from mutual cross-border investment to talent exchanges and education, which could benefit both sides and hedge risks that come with the unpredictability of the United States in the Trump 2.0 era.

Donald Trump's return to power has been an exercise in shock therapy for the world, but nowhere more so than in Europe. Classic allies both politically and economically, the about turn that Trump has taken on both trade and security has left European mouths agape. In this next article in this chapter, titled "Europe's Role in an Ambiguous Global Future: Remaining a Major Power with Multilateralism", we will explore the options for Europe in establishing a more multilateral global exchange, potentially working more closely with China in a world where the United States will likely become increasingly self-isolating and taking positions counter to the consensus that has been established so far on a number of major issues from climate change to trade policy.

This once again brings us to the importance of a multilateral approach, in terms of both exchanges between governments, but also with non-governmental organizations, which are becoming increasingly influential in terms of shaping policy and driving the discourse on the future of global governance. This is the focus of the next article in this chapter, titled "CCG's Europe Tour: A Close-up Look at New Trends in China-EU Relations", which showcases CCG's efforts, as China's leading non-governmental think tank, in promoting dialogue and exchange, specifically focusing on the potential of the EU to become a mediator between China and the United States.

That said, while Track II diplomacy and the non-governmental sector has become increasingly influential, government-to-government communication remains essential. The fourth article in this chapter, "Scholz's Beijing Visit Brings Hope for EU-China Relations", examines the official visit by Angela Merkel's successor as the first European leader to visit China post-COVID and the potential to inspire other European leaders to visit China and establish a new vitality in China-EU relations. Scholtz's commitment to expand investment in China by several large European companies is a strong signal that at least for Europe's part, comprehensive decoupling and reshoring is not part of Europe's plan, which leaves room for the expansion of trade cooperation between China and the EU.

Finally, the last article in this chapter looks to France and the reelection of Emmanuel Macron. Titled "How Macron's Return as French President Could Be a Win for Both the EU and China", it examines the importance of Macron as a stabilizing force in Europe, particularly vis-à-vis France's, and, more generally, Europe's, relations with China. Macron has called on the EU to be a "balancing power" that should work to avoid the outbreak of real conflict between great powers, in particular the United States and China. Following his election he has also been pivotal in shaping and directing EU foreign policy on a number of levels, from the Ukraine war to climate change policy as well as Europe's links with the United States.

As the world seems to slip even further out of balance, it is imperative that those with the influence and capability work to restore an equilibrium that can ensure a peaceful and prosperous world. Ultimately, this must include the United States, but in the meantime China and the EU can begin in this direction and work to incorporate the United States when and where it is willing.

Towards a New Pattern of China-EU Partnership with a Global Vision[1]

> At this turning point in world affairs, a global China-EU partnership would involve increased integration with the world that would initiate a new process and higher level of globalization.

The year 2024 has witnessed several surprising developments that raise significant concerns about the future of the world—the growing influence of far-right movements in the European Parliament and EU member states, the attempted assassination of Donald Trump, and the ongoing war in Ukraine and the conflict in Gaza Strip. As Winston Churchill famously predicted in 1942, "Now this is not the end…But it is, perhaps, the end of the beginning." In this context, we must look forward and work to minimize the risks posed by shifting geopolitical dynamics, where the EU and China must transcend their traditional trade relations and build a new pattern of cooperation.

The EU's Turning Point

The EU is undoubtedly facing a challenging period, characterized by economic and security dilemmas. Since the beginning of the Russia-Ukraine war, the EU has had to prioritize security on its eastern border, which has had wide-ranging economic impacts. The sanctions imposed on Russia—a double-edged sword—have forced the EU to abandon its traditional source of cheap energy. At the same time, it must increase its military budget while grappling with rising energy prices, all of which weaken its ability to manage post-pandemic recovery. According to the World Bank, real GDP growth in the Eurozone was just 0.4 percent in 2023, a significant drop from the previous 3.4 percent. Meanwhile, total defense spending by EU member states in 2023 was 12.5 percent higher than in 2021 and is expected to continue to rise in the coming years. This budget reallocation has clearly undermined the EU's investment in its ambitious Green Deal, despite its longstanding commitment to global climate change efforts.

A turning point is approaching. Domestically, the EU must address the challenge posed by right-wing parties, whose nationalist and populist agendas may threaten the core values of the union. As the US presidential election brings further uncertainty into the transatlantic relationship (and the rest of the world), Europe needs to broaden and diversify its partnerships. By reaffirming its commitment to multilateralism—a principle that has traditionally underpinned its international leadership—Europe should continue to pursue strategic autonomy, which the European Parliament defines as "the capacity of the EU to act autonomously… without being dependent on other countries." This does not mean the EU must abandon its transatlantic relationship.

[1] First published on September 8, 2024 by *Horizons Summer 2024*, Issue No. 27 and revised for this collection.

However, shaken by the Trump Administration, the relationship has become increasingly insecure, and Brussels must seek reliable partnerships elsewhere. As one of the EU's largest trading partners, China cannot be overlooked. The EU needs greater coordination with China and the Global South to reinvigorate its economic dynamics and geopolitical influence.

China recognizes the EU as a key player in a multipolar world, alongside a self-isolating United States and a rising Global South. The EU is one of the world's largest economies, with a consumer market of 500 million people, an innovation hub, a manufacturing powerhouse, and a central role in global value chains. The EU also exercises significant soft power, known for its rule of law, democracy, respect for human rights, and active participation in global affairs. In addition to its leadership on climate change, the EU plays a leading role in the WTO and other international institutions. The leadership and multilateralism that the EU has championed over the past decades have contributed to the free flow of international trade and increasing cultural diversity during the era of hyper-globalization.

China and the EU are not immune to disagreements. The recent tariffs imposed on Chinese electric vehicles (EVs) by the EU indicate potential trade tensions between two of the world's largest economies. The EU's concerns over trade deficits have led it to seek alternative markets in recent years. As a result, the EU has significantly increased its exports to the United States, rebalancing its trade deficits with China. In 2023, the EU's trade deficit with China decreased by 26.7 percent year-on-year, while its trade in goods balance with the United States showed a surplus of €38 billion, compared to a €436 billion deficit with China. Despite these headwinds, the trade relationship between China and the EU, rooted in a long-term partnership and mutual benefit, will not be easily rewritten at this turning point.

China and the EU: Partners without Geopolitical Disputes

The partnership between China and the EU dates back to 1975, when China first established diplomatic relations with the European Economic Community. In 2003, China and the EU established a comprehensive strategic partnership. The "EU-China 2020 Strategic Agenda for Cooperation" further solidified this relationship by introducing more areas of collaboration. As previously described, the relationship can be summarized in two key aspects: trade relations and collaboration on global governance.

However, changing geopolitical circumstances led the EU to redefine this relationship in 2019, labeling it as one of "rivalry, competition, and partnership." These paradoxical concepts have driven the relationship in a confusing direction, with the EU hesitant to engage with China in pursuing its strategic interests in common areas such as trade, climate, and global governance.

At the moment, the EU is seeking to build an economic paradigm underpinned by emerging digital economies and green technology while at the same time struggling to resolve the Russia-Ukraine war. China remains one of the EU's most important trading partners and is also a potential mediator in the war.

Despite their differences, the two sides share a great deal of common ground in their future visions, presenting potential for joint cooperation that could benefit not only the EU but also the world at large at this critical turning point.

China and the EU have no historical disputes, territorial conflicts, or sovereignty issues—the geographic distance between them provides a solid foundation for expanding collaboration in various dimensions, from climate change to the WTO, the digital economy, and even cultural exchanges. Both sides pride themselves on having magnificent ancient civilizations that have survived critical historical periods, which only enhances their potential for cooperation. Nowadays, they should extend their vision to encompass the breadth of the Eurasian continent and the regions where they share critical, intertwined interests.

As a strong believer in the potential of this partnership, I think the EU and China can continue to build a relationship that greatly benefits the world. However, we may need to make some updates to ensure the China-EU relationship is better suited to the changing global context. Specifically, there are several dimensions the two sides need to focus on moving forward.

Mediators of Wars and Conflicts

The changing geopolitical structure in recent years, marked by two significant conflicts, may reshape the political map of Europe. The first is the war in Ukraine, a brutal ongoing conflict that might have already claimed more than half a million lives and narrowly avoided the risk of nuclear warfare. The second conflict is the quasi-Cold War between China and the United States. Since the outbreak of the trade war in 2018, Sino-American relations have deteriorated significantly. The administration of US President Joseph Biden has not reversed this trajectory; if anything, it has worsened it. However, the complicated relationships between the EU and Russia and China and the US have left some room for the EU to maneuver, should it choose to improve its geopolitical position.

China, as Russia's largest trading partner, has a significant role in mediating the Russia-Ukraine war. In 2022, China reiterated its stance against any nuclear country unilaterally exercising nuclear warfare. Importantly, China collaborated with Europe during this process. When German Chancellor Olaf Scholz visited Beijing in November 2022, the two sides jointly issued a statement against the use of nuclear weapons in war. This position was seen as a successful effort by China and the EU to deescalate the conflict. China has consistently worked with the international community to end the war. It participated in the 2023 Peace Summit held in Jeddah, Saudi Arabia, where representatives from 42 countries agreed to continue discussions toward peace. After releasing its 12-point peace plan in early 2023, China reached a six-point consensus with Brazil in May 2024, followed by an invitation to Ukraine's Foreign Minister, Dmytro Kuleba, to visit China in July to meet with his counterpart, China's Foreign Minister Wang Yi. This increasing engagement with stakeholders demonstrates that China is serious about mediating the war and is following its own plan.

Meanwhile, the EU faces another challenge in the Middle East. The deepening conflict there could potentially spread to Israel's neighboring countries, triggering a new round of migration crises at the EU's eastern border. On July 23rd, 2024, the unity declaration signed in Beijing by 14 Palestinian factions, including Fatah and Hamas, brought a glimmer of hope to the war-torn region. However, China will need more support from the EU when the final two-state peace solution, backed by both sides, is presented at the G20 Summit and the UN Security Council.

There is no doubt that China stands to gain if it can help broker an end to these conflicts. Under these circumstances, if China continues its mediation in wars and conflicts of concern to the EU, could the EU, in turn, attempt to mediate the conflict between the United States and China as a reciprocal gesture toward China's goodwill? The win-win scenario is that both parties could take advantage of their unique geopolitical positions rather than mutually weakening them.

Economic and Green Transition

In the economic dimension, China introduced the concept of "new quality productivity" earlier in 2024, prioritizing green development and digital innovation to drive sustainable growth. Similarly, the EU is also a world leader in digital innovation and regulation. Through its Green Deal, the EU aims to reduce net greenhouse gas emissions by at least 55 percent by 2030 compared to 1990 levels.

The two sides can jointly explore their potential in the areas of the digital economy and green transition, which are seen as key drivers of future economic growth. The digital economy now accounts for nearly 60 percent of global GDP, according to the China Academy of Information and Communications Technology, a Beijing-based research institute. Additionally, new data from 43 countries, representing about three-quarters of global GDP, demonstrates that business e-commerce sales grew nearly 60 percent from 2016 to 2022, reaching $27 trillion, according to UNCTAD's Digital Economy Report 2024. In 2023 in particular, an average of 28 percent of ICT firms in the OECD used AI, a higher percentage than in any other sector, according to the OECD.

Key issues in this domain include cross-border data flow, privacy protection, digital monopolies, and AI regulation, with the EU keen to catalyze a global consensus. China is willing to engage with the EU in discussions to help form a global coalition on these issues. Reflecting this shared interest, the ambassadors of France and Germany in China jointly initiated an AI regulation symposium with Chinese experts at the headquarters of the Center for China and Globalization in May 2024, ahead of the AI Summit in Seoul. This demonstrates the common interests of the international community in this area.

Regarding the green transition, the EU and China might consider a new reciprocal model—which I call “investment to reduce tariffs.” China now has a strong capacity to produce renewable energy devices, manufacturing 90 percent of the world’s solar panels in 2023 and selling 60 percent of global EVs. However, this capacity is still insufficient to meet global market demand. The International Energy Agency (IEA) forecasts that global demand for new photovoltaic installations will reach 820 gigawatts, approximately four times that of 2022, if the goals set by the Paris Agreement are to be met. Instead of fearing China’s “overcapacity,” which some fear could undermine the EU’s competitiveness, the two sides should cooperate to boost productivity and explore markets together, rather than raising tariffs and resorting to trade protectionism. A feasible solution to their disputes could involve allowing more Chinese green manufacturers to invest in the European market by lowering investment thresholds, avoiding investigations under the guise of national security, and reducing Sinophobic rhetoric. In return for China increasing its investment in the EU market, the two sides could negotiate lowering tariffs on imported EVs from China.

And here comes the ultimate vision—with the European Parliament having just completed a new round of elections, we have a new mandate for EU leadership. It is expected that the sanctions imposed by both sides since 2021 could come to an end. The two sides should consider lifting the sanctions simultaneously or at least suspending them to facilitate new rounds of trade and investment negotiations. We urgently need to build a new framework to guide the future China-EU relationship in this turbulent context.

Connecting the EU with the Global South

The EU’s foreign policy is more focused on the Global South than ever, as seen in the €300 billion Global Gateway strategy released in 2021, extending Europe’s olive branch to Africa and ASEAN countries. The EU is also seeking to reach free trade agreements with ASEAN and MERCOSUR in recent years. The EU’s ambition to deepen its relationship with the Global South and the rising “middle powers”—defined by the World Economic Forum as “influential states that sit below superpowers and great powers”—is evident. However, cost-effectiveness is equally important. China’s Belt and Road Initiative (BRI), launched in 2013 to enhance global connectivity, could also serve the interests of the Global Gateway and other EU connectivity efforts, reducing costs and increasing practicability. Additionally, international financial institutions like the IMF and World Bank could facilitate a global banking platform that includes regional development banks such as the ADB, AIIB, and EBRD, helping to fund both the BRI and the Global Gateway.

Many middle powers, benefiting from the China-US trade and technology war, are now receiving industrial capacities and investments that once targeted the Chinese market. This relocation is accelerating their industrialization. However, the global supply and value chains, meticulously built during the era of hyper-globalization, are becoming fragmented. The EU itself is experiencing deindustrialization. Looking ahead, the EU and China could collaborate through third-party cooperation to stabilize and reshape these global chains, potentially creating a more sustainable and interconnected global economic system.

A New Globalization?

The EU will struggling to maintain the lifestyle of the "good old days," when security was guaranteed by the United States and cheap resources were supplied by Russia. This era, characterized by the EU's prosperous lifestyle as the largest economy in the world, including 27 member-states and the UK, must transform in response to changing geopolitical realities and domestic economic challenges.

Therefore, the EU needs to expand its relationships with other parts of the world. As mentioned in previous sections of this essay, there is significant potential for cooperation between China and the EU. This collaboration could help both sides establish a new pattern of partnership that extends beyond mere trade relations.

A global China-EU partnership would involve increasing engagement, entanglement, and integration of their systems of values, ideologies, and civilizations. This would initiate a new process of globalization—a higher level of globalization—between and among great civilizations.

As Trump's Trade War Gathers Steam, China and Europe Must Cooperate[2]

In the chaos of a trade war, the world is searching for a silver lining. By fostering innovation and open markets—particularly in the automotive sector—China and the EU could be a model for how major powers can work together despite their differences to create mutual benefit.

Global trade tensions escalated sharply in the weeks after US President Donald Trump launched a series of aggressive tariff measures. While maintaining elevated tariffs on Chinese imports, Trump has now threatened to extend similar protectionist measures to the European Union, raising alarm bells across the Atlantic.

These mounting pressures have prompted European leaders to re-evaluate their strategic partnerships and trade relationships, particularly with China. Against this backdrop of mounting uncertainty, European Commission President Ursula von der Leyen's speech at the EU Ambassadors Conference on February 4 took on particular significance.

"Our relationship with China is one of the most intricate and important anywhere in the world," she said, highlighting that China accounts for 9 per cent of EU goods exports and more than 20 per cent of goods imports in a "mutually beneficial" trade relationship. Her words appeared to mark a departure from her previous hawkish stance as she emphasised that agreements could "even expand our trade and investment ties".

Beijing quickly signalled its interest in strengthening ties. "The world is facing the risk of division, fragmentation and disorder," Foreign Ministry spokesperson Lin Jian said a day later, adding that "China-EU relations have all the more strategic importance and global influence."

Before these statements, EU-China trade relations faced significant challenges. The French cognac industry serves as a telling example. According to data from the Bureau National Interprofessionnel du Cognac, French cognac exports to China dropped 23.8 per cent by value and 9.6 per cent by volume last year from 2023 levels.

The relationship deteriorated sharply after China's new tariff measures took effect last October 11 in response to EU duties on Chinese electric vehicles (EVs), with industry sources reporting a 75 per cent decline in French cognac exports to China in December. These figures highlight some of the pressing issues in bilateral trade relations that need to be addressed.

Against this backdrop, the European Commission launched a strategic dialogue on the future of Europe's automotive sector. The industry, which supports more than 13 million direct and indirect jobs and contributes about €1 trillion (US$1.03 trillion) to EU gross domestic product, is now positioned at the forefront of potential EU-China cooperation in what von der Leyen described as "an era of hyper-competitive and hyper-transactional geopolitics".

[2] First published on February 14, 2025 by SCMP and revised for this collection.

The European automotive sector faces unprecedented transformation pressures. It must simultaneously navigate a clean energy transition, supply-chain restructuring and technological innovation, a triple challenge that creates strategic opportunities for EU-China cooperation. China's EV supply chain and manufacturing ecosystem could complement Europe's advanced manufacturing capabilities and cutting-edge technologies, creating a powerful synergy in the global race for automotive innovation.

This strategic pivot has gained backing from global trade leaders. Former World Trade Organization Director General Pascal Lamy recently proposed the idea of EU-China automotive collaboration, suggesting a reversal of traditional investment flows.

Speaking at a forum organised by the Centre for China and Globalization, Lamy highlighted how the dynamics that brought European carmakers to China three decades ago could now work in reverse, with Europe potentially benefiting from Chinese investment and technological expertise.

This vision promises deeper collaboration extending to broader markets. Chinese manufacturers could establish production bases in Europe, creating jobs and fostering technological exchange, while both parties could jointly develop markets across the Global South. Such collaboration could accelerate the adoption of sustainable transport options in Africa, Latin America and Central Asia, creating a win-win scenario for the European and Chinese automotive industries.

Previous Chinese-European automotive partnerships have demonstrated the value and potential of such cooperation. Geely's 2010 acquisition of Volvo from Ford has proven particularly instructive. The two companies now share electric vehicle architecture and jointly develop EV platforms while maintaining their distinct brand identities and operational independence.

European carmakers have similarly benefited from their long-standing presence in China. Volkswagen Group, through its joint ventures, has maintained market leadership in China while creating substantial local employment. BMW has followed a similar path of success.

These partnerships show how strategic collaboration can help both sides navigate the industry's transformation: European firms gain market access and manufacturing scale while Chinese companies acquire advanced technology and production expertise.

Today, the spirit of cooperation is taking concrete forms as Chinese carmakers contribute to Europe's automotive ecosystem. BYD is establishing a battery production facility in Hungary, adding to the region's EV manufacturing capacity, while CATL, a global leader in battery technology, is developing multiple major projects across Germany, Hungary and Spain.

These investments show how manufacturing synergies can move in both directions, following the successful model of European carmakers in China but adapted for today's evolving automotive landscape.

Making this vision a reality requires concrete action from both sides. The EU and China should revive negotiations on the Comprehensive Agreement on Investment, which would provide crucial institutional safeguards for businesses.

The automotive sector could pioneer new forms of industrial collaboration through joint research and development facilities, shared talent development programmes and harmonised technical standards. As two of the world's largest automotive markets, they also have a shared responsibility to champion open trade and resist protectionist pressures in the global marketplace.

In an era defined by geopolitical tensions and economic uncertainties, the strategic significance of the EU-China relationship extends far beyond bilateral interests to its economic potential and capacity to shape a more balanced and resilient global order.

By fostering innovation, promoting sustainable development and maintaining open markets, the EU and China can set an example of how major powers can work together despite their differences.

Europe's Role in an Ambiguous Global Future: Remaining a Major Power with Multilateralism[3]

Europe's traditional economic strength and strategic geopolitical position have ensured a continued influence on the world stage, but it also faces challenges, most recently from its closest ally. It is clear that Europe should consider exploring more multilateral global partnerships, potentially with China.

Europe holds a significant position globally with its own unique political, economic and cultural character. Its pursuit of strategic autonomy enables Europe to act as a crucial balancer among major powers, but while Europe has numerous advantages, it also faces several challenges. In the near future, the EU could potentially address some of these challenges by strengthening multilateral ties, including those with China and the Global South, while maintaining a balanced relationship with other powers.

Historical and Cultural Legacy

Europe's long history has put it at the fore of human development for centuries. Today, the European Union wields considerable soft power and leadership in global governance through its commitment to democracy and humanitarianism. The vanguard of the Industrial Revolution, Europe has maintained significant economic influence and its capacity for innovation. Its contributions to global culture and science are immense. Many of its renowned scientists, artists, writers and philosophers are still leading the way towards an innovative and better future.

Geographically, Europe sits on the northwestern edge of the Eastern Hemisphere, surrounded by seas on three sides and connected to Asia in the east. Historically, Europe has played a pivotal role in the world because of its political, cultural and economic strength, and this influence is still felt today. The birthplace of the Industrial Revolution, it continues to retain a leading position in the global economy. Politically, the European Union has always maintained multilateralism as its core diplomatic value, and has been viewed as a trustworthy partner by many countries and international institutions in the post-Cold War era.

Nonetheless, unlike the United States, which benefits from a vast territory and abundant natural resources, the European economy relies heavily on external resources, which renders it relatively vulnerable to geopolitical instability. Over half of Germany's mineral resources are imported, and in 2021, 96 percent of the crude oil consumed in the EU market was imported, 40 percent of which came from Russia.

[3] This has been adapted from a Background Paper prepared for Trilogue Salzburg held in August 2024.

Compounding the issue of energy dependency, a radical decarbonization policy—including the decision to phase out nuclear power in some of its members—pursued by the EU has exacerbated its energy woes.

Both a blessing and a curse, the formation of Europe's integrated market has been prolonged and gradual, while persistent divisions and differences among European nations have led to numerous challenges, such as the Eurozone crisis, highlighting the issues that arise from having a unified currency without a unified fiscal policy, resulting in inefficiencies in collective action. This structural weakness contributed to the 2010 Euro debt crisis and led to the energy crisis following the outbreak of the Russia-Ukraine war, with the lack of consistent industrial policies among its member countries destabilizing supply chains in Europe and raising doubts about the EU's future economic prospects.

Pressing Challenges

Europe faces several pressing challenges. A security crisis, embedded in its geopolitics and economic structures, is a direct repercussion of the Russia-Ukraine war, while the migration and sovereign debt crises of the 2010s have undermined the EU's economic capacity, endangering its industrial foundations and leading to numerous social problems. Europe needs to start by addressing its energy issues and embracing a digital transformation. Despite its ambitions to transition to a green, Europe must significantly increase investment to maintain momentum and partner with other countries to supplement technological gaps.

This is not an easy job. The rising influence of the Global South, coupled with an increasingly polarized and self-isolated United States, threatens traditional transatlantic relations and challenges Europe's global leadership. Closer to home, the rise of populism and extremism, fueled by political polarization and a sluggish economy, also poses a serious challenge to the common values composing the founding pillars of the EU. However, hope remains that multilateralism, emphasized by the European External Action Service (EEAS) as "a central element of the EU's external policy," will help the EU expand its global leadership and ultimately provide solutions to its own problems.

Europe's unique position in the world is marked by both its historical contributions and its long successful participation in global governance. However, it must navigate a complex landscape of geopolitical, economic and domestic challenges to maintain its influence and stability in a world with growing uncertainties. To address its security and economic concerns, Europe needs to evaluate its partnerships with various stakeholders, including but not limited to transatlantic relations. It would be better for the EU to reconsider its policy toward China—the second largest economy in the world and a leader among the countries of Global South.

Europe and China: A Feasible Partnership

The official relationship between Europe and China can be traced back to 1975, when China established diplomatic relations with the European Economic Community. In 1998, China and Europe established a long-term, stable and constructive partnership for the twenty-first century, which was reinforced in 2003 with the announcement of a Comprehensive Strategic Partnership (CSP) and the publication of the Chinese government's first policy paper on the European Union. The partnership was further highlighted in 2013 when the two sides published the "EU-China 2020 Strategic Agenda for Cooperation."

To date, over 60 mechanisms for consultation and dialogue have been established between China and Europe, covering various fields such as politics, economy, trade, culture, science and technology, energy and the environment. The EU and China have been significant trade partners for more than two decades and in 2023 China and the EU were each other's second-largest trading partners. China was the EU's third-largest export market and the largest source of imports, while the EU was China's second-largest export market and second-largest source of imports.

China and Europe have also seen fruitful results in other areas of cooperation. Official science and technology cooperation began in 1981, leading to the formation of the EU-China Science and Technology Cooperation Working Group in 1991. In response to climate change, the EU and China established a climate change partnership in 2005, working together to hold ministerial dialogues and release joint statements that strengthened collaborative efforts, including the Paris Climate Agreement. Beginning in 2020, digital cooperation focused on high-level dialogues aimed at enhancing digital collaboration. Energy collaboration between China and Europe spans decades and has resulted in agreements on nuclear energy research, clean energy initiatives and strategic dialogues. At the grassroots level, the EU-China High-Level People-to-People Dialogue, established in 2012, fosters cultural and educational exchanges.

Despite recent challenges, both sides continue to show a willingness to cooperate. From July 2018 to December 2022, President Xi Jinping engaged in a series of meetings and phone conversations with European Union leaders. In April 2023, President Xi met with European Commission President Ursula von der Leyen during her visit to China, and they met again in May 2024 during President Xi's state visit to France.

The development of China-EU relations demonstrates their mutual interest in areas that could be beneficial to the world. Climate change, a key area of interest for the EU, has been highlighted by China over the past decade as being crucial to the future of humanity. The Paris Agreement would not have been signed if not for joint efforts by the EU and China. This is also true in the WTO, with China and the EU delivering a joint statement in 2018 to restore the paralyzed organization's Appellate Body and continuing to defend the integrity of the WTO since then.

Future Collaboration

There are various areas where China and Europe can continue to work together, despite the increasing protectionism influenced by changing domestic politics in Europe and the return of a more populist US president. The fundamental reason for this cooperative momentum is the reciprocal nature of the EU and China's economies, markets and global leadership ambitions, along with their determination to practice true multilateralism.

China and Europe have potential areas of future collaboration. As the global landscape evolves from a unipolar to a multipolar world, the international community must face this change. Current global challenges make it imperative for China, the United States and Europe, as the top three economies, to find a way to communicate more efficiently, potentially under a kind of "G3" mechanism to facilitate regular high-level discussions and coordinate the recovery of the global economy and improve global governance. With such a platform, these three major players could address global challenges and discuss solutions in areas of common concern, thereby effecting real change.

Addressing Security Concerns

The priority of this G3 mechanism would not be to dominate the world, but to prevent imminent global conflicts. The ongoing wars in Ukraine and Palestine have resulted in millions of people being left helpless and homeless. China is willing and capable of playing a significant role in mediating these ongoing conflicts. As a major global power with strong diplomatic ties to both Russia and Ukraine, China can leverage its influence to encourage dialogue and foster a peaceful resolution. Apart from these, China can also help the EU facilitate a possible deal in the Middle East, relieving security concerns along the EU's southeastern border.

In addressing the growing risk of conflict, China has recently strengthened its engagement with relevant parties. In addition to the six-point consensus issued by China and Brazil in May of 2024, China's leaders hosted a visit from Prime Minister Viktor Orban, whose country took over the six-month rotating presidency of the European Council in July. The meeting was described by Prime Minister Orban as the third leg of his ambitious "peace mission." The visit by Ukraine's Foreign Minister Dmytro Kuleba to China in July—the first visit of a Ukrainian foreign minister since 2012—demonstrates China's ambition to mediate the Russia-Ukraine war by bridging the two sides. The recent meeting of Palestinian factions in Beijing and the Unity Declaration signifies that China is committed to regional peace and hopefully bring signs of peace to all actors in the region.

In exchange, Europe could play a pivotal role in recalibrating the complex and often contentious relationship between China and the United States. Europe is uniquely positioned to bridge this gap and foster understanding between Beijing and Washington. By promoting multilateral dialogue and encouraging cooperation on global issues, Europe could help mitigate tensions and buffer the spillovers caused by the confrontation between China and the US. Europe's balanced approach and commitment to international norms can serve as a model for constructive engagement, encouraging both China and the United States to pursue collaborative solutions to shared challenges. Through diplomatic initiatives and strategic partnerships, Europe could significantly contribute to reducing friction and fostering a more cooperative global environment.

Revitalizing Trade and Investment Cooperation

Unfortunately, despite extensive common interests and a solid foundation for cooperation, China-EU relations have rapidly deteriorated over the past two years, resulting in an impasse on the Comprehensive Agreement on Investment (CAI). This agreement, hailed as the impetus for a second wave of reform and opening up in China, includes many conditions and benefits not previously enjoyed by the US and establishes a more open and higher-level standard for European companies. To overcome this impasse, China's National People's Congress ratified the International Labor Organisation's 1930 Forced Labour Convention and the 1957 Abolition of Forced Labor Convention to comply with the labour standards required by the EU. Resuming communication would help negotiations, possibly lift sanctions and ultimately revive the CAI to the benefit of both Chinese and European enterprises.

The latest European Parliament election resulted in a significant reshuffle of MEPs. This change opens a window for both sides to potentially lift the mutual sanctions imposed in 2021, as the new parliament is not bound to uphold the previous decisions. The removal of these sanctions could deescalate current political tension and lead to a recovery of bilateral trade and investment in a period of economic downturn affecting both China and Europe.

Finally, while bilateral or multilateral investment and trade agreements seem to be on the rise, the WTO remains a central institution for promoting investment and trade facilitation, reducing tariff and non-tariff barriers, and eliminating differential treatment in international trade. It still plays an irreplaceable role in promoting trade liberalization, optimizing global resource allocation, and expanding the production and flow of commodities. WTO reforms would boost the international community's confidence in the multilateral trading system and multilateralism itself. Europe and China should enhance joint efforts to reform the WTO rather than blame each other violating WTO rules.

Engaging with the Global South in a Transitional World Order

A G3 should emphasize cooperation with members of the Global South to bridge the gap between developing and developed countries. China, as a founding member of BRICS, has engaged heavily with developing countries in commerce and trade through BRICS, which is an increasingly influential force in the global financial sector and political security. Measured in purchasing power parity, the BRICS countries have already outpaced the G7, accounting for 35.6% of the world's GDP compared to the G7's 30.3%. By 2028, this disparity is projected to grow even more in favor of the BRICS, with estimates showing a ratio of 36.6% to 27.8%. The robust intra-BRICS economic cooperation could attract more "middle power" nations to join.

The rising influence of the Global South is reshaping the world order. Sub-Saharan Africa, traditionally seen as economically underdeveloped, is being transformed after filling a veritable vacuum in infrastructure, green development and digital economy projects. Similarly, could Latin American countries have created solid economic foundations and achieved a high degree of global integration. The EU cannot overlook the significant economic and social benefits of these markets. An established G3 could unleash Sub-Saharan Africa's economic potential, including its rich natural and human resources, closing gaps in regional development. A G3 could also assist Latin America in escaping the middle-income trap, given the region's growing clout in global affairs, especially in the context of the climate crisis.

At the right time, a G3 could also work to achieve some level of coordination on global infrastructure development by coordinating between the Belt and Road Initiative (BRI), the EU's Global Gateway and the G7's Partnership on Global Infrastructure and Investment. If investments under these initiatives are uncoordinated and shaped by geopolitical competition, they could lock countries into high-carbon paths for decades to come. Since being launched in 2013, the BRI has become a vector of globalization, growth and investment in many regions. Yet reshaping the BRI into a more multilateral endeavor promoting global governance and development is a necessary step in its next phase of development.

Green Issues and Data Collaboration

Green issues may prove to be one of the most promising fields with the potential to forge consensus and meaningful reform. Specifically, China could work with the EU and the US to create a dedicated UN institution focused on climate change, which is a universal crisis that will continue to affect many aspects of global cooperation. This would augment the leadership of the UN in addressing climate change through the UN Environmental Programme (UNEP) and the UN Framework Convention on Climate Change (UNFCCC). The EU itself, from the perspective of green development, needs to adopt a more inclusive trade policy. For instance, the EU could reconsider the recent tariffs imposed on imported electric vehicles (EVs) from China and encourage Chinese acquisitions and investments in the EU market, particularly in the sector of renewable energy, strengthening economic reciprocity while continuing to lead global efforts to combat climate change by exploring the market of renewable energy and EVs in the rest of the world.

Similarly, as the "oil" of the twenty-first century, digitalization empowers the world economy with better allocation of information and optimization of resources. Data flows are a key factor to boost market integration in the digital age. Yet it creates complexities such as national security, geopolitics and privacy protection that have kept countries from agreeing on how to promote free data flows and enhance data localization. A G3 could take the lead in establishing a new group consisted of digital powers—a kind of "Digital 20"—like the G20, named the D20 or similiar—providing countries in need of digital collaboration with a platform to reach a consensus on cross-border data flows. Additionally, establishing a "global data organization" would lead the way in formulating standards for global data security or data regulation, as the world has yet to reach a comprehensive multilateral solution to either issue.

Last but not least, the EU has also played a leading role in the regulation of artificial intelligence, with China and the US following its example. In June this year, the Center for China and Globalizaiton hosted a seminar at its Beijing headquarters titled "European and Chinese Perspectives on AI Governance," in collaboration with the German and French Embassies. The seminar is one of the many efforts between China and the EU members to highlight the significant potential for collaboration between Europe and China on AI governance. Amid the early stage of global AI regulation, the consensus to advance this agenda is urgent for all stake holders. The longer we wait, the more divided we become.

Conclusion

Europe's historical legacy, economic strength and strategic geopolitical position will no doubt ensure its continued influence on the global stage. However, addressing its geographical limitations, resource dependencies and internal unity challenges will be crucial for maintaining and enhancing this influence. Ultimately, it has become increasingly clear that strengthening partnerships with emerging powers like China and engaging in multilateral cooperation can help Europe navigate an ambiguous future and reinforce its role as a major global power.

CCG's Europe Tour: A Close-up Look at New Trends in China-EU Relations[4]

In a time of uncertainty, trends in China-EU relations show that a mechanism for high-level dialogue and coordination could establish the EU as a mediator between China and the US.

Increasingly frequent high-level interactions between China and Europe over the past month have started to warm Sino-European relations, which had become cold given the currently tense geopolitical environment. Taking advantage of this momentum, the Center for China and Globalization (CCG), leveraging its advantages as one of China's leading non-governmental think tanks, has recently embarked upon its own journey into "think tank diplomacy" and had extensive and in-depth cultural exchanges with counterparts in Europe and the United States.

From July 9 to 19, a delegation of CCG experts began a European Track II Diplomacy tour that took them to Paris, Berlin and Brussels where they interacted with hundreds of pundits in fields ranging from academia to policy-making, representing businesses as well as international organizations throughout Europe. This was the first Chinese think tank delegation to visit the continent since COVID-19 broke out, which is a positive signal that people-to-people exchanges are returning.

Well Beyond Our Expectations

The enthusiasm, density, breadth and depth of our interactions with institutions in Europe that received us during the visit exceeded our expectations. In the past three years, many of our contacts and organizations have changed, making it difficult to connect. When we visited Bruegel, a Brussels-based think tank, we found that its chairman had since moved to Berlin, but he entrusted our welcome reception to his very capable interim director and everyone's enthusiasm was undiminished.

All the institutions we contacted were looking forward to coming back to China. Experts from business, academia, and international organizations are looking forward to the shortening or elimination of quarantine requirements. They also welcomed experts, scholars and international students from China, and of course Chinese tourists in famous tourist destinations like Paris.

Three Concerns from the European Side

When talking with pundits from the World Bank, renowned economic think tanks like Bruegel, and some economic committees, we found that there was a lot of interest in whether China would be able to boost the world economy in the coming years.

[4] First published on August 19, 2022 by China Focus and revised for this collection.

China's economy has become the engine, ballast and stabilizer of the world economy. During the pandemic last year, China set a new record in import and export trade volume with an increase of nearly 30 percent, and this momentum makes China a lynchpin of the global economy. Europe is currently experiencing an energy crisis due to the Russia-Ukraine war, and is about to go through a tough winter. If China fails to drive global economic growth, the energy crisis, compounded by inflation and food shortages, things will get even worse and the geopolitical situation will become increasingly unstable.

First, we had heated discussions on the state of the Chinese economy. The outside world knows that China's real estate sector is going through a major period of adjustment, high-tech companies are not as robust as before, and multinational enterprises are also dialing down investment. However, at the same time, globalization experts generally recognize China's rise to become the world's second largest economy and its success in poverty alleviation. There is confidence that China's economy will continue to drive steady global growth, but many are also concerned about the current slowdown in China's economic growth.

Second, sanctions by both sides forced discussions on the Comprehensive Agreement on Investments between China and the Euopean Union (CAI) to be shelved. In November, three months from now, there will be discussions on whether to extend sanctions for a third year, giving us enough time to do more to lay a foundation that will incentivize both sides to lift sanctions.

Third, there was a lot of concern about the direction China will take in the midst of a constantly changing global environment. Biden's approval rating continues to fall and has reached its lowest level since he took office. British Prime Minister Boris Johnson has resigned. French President Emmanuel Macron will face more resistance in the next five years. All of these imply intensifying social contradictions and rising social divisions, while the 20th CPC National Congress will show the world a stable, unified, and powerful CPC leadership, which makes Western countries question their own leadership.

Implications of CCG's Europe Tour

We organized an intensive series of events that have served to restart and catalyze interaction between China and Europe. After our visit, many other colleagues in think tanks, academia and government institutions recognize CCG's leadership in taking this step, making them wonder if they can take this step as well.

European chambers of commerce are also looking forward to visiting China and many business leaders emphasized that investing in China requires on-site visits, budgeting, strategic meetings and local team exchanges before they can make a final decision. However, the inability to be on-site for the past three years means that the original investment drive may wane or even disappear. European MNCs still want to invest despite an increasingly negative political environment and stricter controls placed on them, with both the French and German governments soon to release strategic reports assessing investment in China.

We also heard from Chinese enterprises that expos around Europe have returned, but there are no Chinese booths and they have been replaced by Vietnam, India and South Korea. Chinese enterprises used to be important participants in these expos, but now they are unable to attend. The number of exhibitors has plunged and there is no way to do business, expand investment and sell products. Many Chinese entrepreneurs feel they're losing out when they see the momentum of other Asian companies and this makes them very anxious.

There is still a lot of misunderstanding about China and this visit attempted to clarify the issues and reiterate our position. China has done a lot in mediating the Russia-Ukraine war. We emphasize respect for sovereignty and territorial integrity. We have also offered Ukraine humanitarian assistance. President Xi Jinping has expressed his willingness on many occasions to promote peace talks through online meetings with heads of countries to resolve conflicts together. However, those we spoke with did not seem to know this and only knew about Sino-Russian cooperation, which is a result of information asymmetry. An important part of our visit this time was to increase trust and dispel doubts about China in Europe and to reiterate China's stance and attitude.

Officials from Chinese embassies and senior diplomats have been proactively promoting exchanges and embassy officials have said that as Europe's economy and tourism industry recovers, the timing is right for China to restart people-to-people and cultural exchanges. They believe we made the right decision. Despite the risk and price, we truly believe this tour was worthwhile and very successful.

Five Moves to Improve Sino-European Relations

Since the Russia-Ukraine war began, the broader European political community has felt that China is not on its side and has subsequently developed a negative view of China. One-sided reports in Western media have made many believe that China and Russia are allies and that has prompted European countries to introduce sometimes drastic policies to address a non-existent threat, such as endorsing the recent Strategic Concept for NATO which conceptualized a wildly misguided " China threat". In view of these misunderstandings, we would like to put forward five moves that could set Sino-European relations on the right path.

First of all, China and the EU should resume the Comprehensive Agreement on Investment (CAI) negotiations as soon as possible. In November, the EU will have to decide whether to extend sanctions for another year and we should instead encourage both sides to lift sanctions together. The CAI, once viewed as China's second round of "reform and opening-up", is an open and high-level standard for Sino-European cooperation. China has previously made serious drives to launch the pact including preparations for regulatory standardization and alignment on working conditions. Once CAI negotiations resume, bilateral investment between European and Chinese parties can be strengthened, which is something that both sides would benefit from greatly.

Second, there is an urgent need to increase trust and dispel doubts. The German and French governments are now conducting strategic reports on Chinese government policies. We need to strengthen communication to reduce trust deficits and information asymmetry. If this is done, their reports would be more likely to reflect the real situation as current European opinions on China's business environment are still heavily based on the negative reports released by the European Union Chamber of Commerce in China in China. More efforts should be made in this regard.

Third, we should increase high-level dialogues as well as people-to-people and cultural exchanges. Exchanges between think tanks, scholars, experts, and international students should not only be restored but reinforced. Tourism and sister-city exchanges should also be resumed as part of the same drive before the pandemic, 155 million Chinese people traveled abroad every year, many of them to Europe which contributed greatly to China's ability to engage and understand foreign nations. Chinese tourists used to be important consumers. We need to unleash this advantage.

Fourth, we need to further improve pandemic prevention measures and accelerate the easing of travel restrictions, reduce quarantine periods, and increase the number of flights. Policy instruments can be used to create more precise prevention and control systems and to shorten the quarantine period for visitors. China is a beautiful place with clear waters and green mountains. We welcome European ambassadors to see the changes and beauty from Xinjiang in the west to Hong Kong in the south east. Seeing is believing and it is the best way to assuage fears and buoy diplomacy.

We need to do a better job of communicating China's story reaching out to Europe. There is no fundamental geopolitical conflict or contradictions between Europe and China. And economically, China and Europe are important partners. Both have long history, impressive cultures and ancient civilizations. To prevent political misjudgment and a decline in relations, we hope that we can find a balance and set China-EU relations on the right path.

The Future of China-EU Relations

China-EU relations have now entered a new stage of development. Since the Russia-Ukraine war, Europe and the US have become even more closely linked in terms of ideology, values and security. The importance of geopolitics as a security factor has risen dramatically and Europe's concerns about its own defense have surged. On the other hand, Europe and China have important economic ties as China is its largest trading partner. Europe stands at a crossroads, closer to the US politically, but closer to China economically.

Even with this in mind however China and Europe share interests on issues, such as climate change and the digital economy. The EU and the US have significant differences in this regard and as at the recent Les Rencontres Économiques d'Aix-en-Provence, former French Prime Minister Jean-Pierre Raffarin noted that Europe needs maintain its strategic independence. In our view, Europe's current heightened dependence on the United States is a direct result of the war in Ukraine and this state of affairs is inhibiting Europe from pursuing cooperation on shared interests with China. But Europe need not remain dependent. For all it currently lacks military strength, the EU has clear advantages in terms of economy, soft power, and culture.

As a part of this Premier Li Keqiang has been proactively engaging in discussions with European countries, including video meetings with the President of the European Council, Charles Michel, and the President of the European Commission, Ursula von der Leyen, as well as phone calls with German Chancellor, Olaf Scholz. As a signal of China's dedication to working with Europe, four Chinese airlines have recently announced that they will buy a total of 292 planes from Airbus worth $37 billion.

At several seminars held by European think tanks, we proposed the concept of "G3"—adding Europe to the "G2" format of China and the US to form a "group of three (G3)". In 2021, the total GDP of the US exceeded $23 trillion, while the GDP of the EU was $17 trillion. If the UK and other European countries outside the EU are included, the GDP of Europe is over $20 trillion. China's total GDP reached $17.7 trillion. Economically, China, the US and the EU are the three pillars that underpin the global economy.

If a mechanism for high-level dialogue and coordination can be established, EU could act as a mediator between China and the US, as well as pursue its own interests. The EU's role as mediator can be developed slowly and the misunderstandings can be resolved through communication. The stability of these three major economies could once again form the basis for world peace and development.

Scholz's Beijing Visit Brings Hope for EU-China Relations[5]

> Scholz's visit broke important ground, and it is expected that French President Emmanuel Macron and other European leaders will also visit, with shared economic interests and pragmatic cooperation giving a fresh impetus to China-EU relations.

Contrary to the narrative of decoupling that is gaining traction in the West, Chancellor Olaf Scholz's visit to Beijing last week, with 12 CEOs in tow, is proof that Germany still puts business first when it comes to China.

Looking at the economic context, it isn't hard to see why. Germany derives half its gross domestic product from exports and China has been its top trading partner for six years. Commerce with China supports over a million German jobs directly, and millions more indirectly.

The depth of ties between the two economies is even more apparent when looking at the balance sheets of individual companies. China accounts for over 30 per cent of global sales of carmakers like Volkswagen, Daimler and BMW—and over a fifth for other DAX heavyweights such as Covestro and Adidas. Infineon, the German chip maker, derives a whopping 37.9 per cent of its sales from China.

These economic links are crucial when Germany, like the rest of Europe, faces a deepening energy crisis, high inflation and the very real risk of recession.

Berlin can hardly afford to aggravate its current economic predicament by supporting an economic decoupling of the European Union from China—a move that could cost Germany almost six times as much as Brexit, according to the Munich-based ifo Institute, or €48.4 billion (US$48.5 billion) in real income, according to the Kiel Institute for the World Economy.

Despite the current economic challenges, the war in Ukraine has led to more calls for Scholz to curtail commercial ties with China, including from within his own coalition.

The Green Party's Robert Habeck, an influential voice in the current crisis as head of a super ministry that oversees climate, energy and the economy, has warned German companies not to become too reliant on China and is reported to be working on measures to encourage them to diversify away from its huge market.

But whatever the rumblings from his junior coalition partners, the Greens and Free Democrats, Scholz is proving to be like his predecessor Angela Merkel; he has made clear that he intends to handle ties with China "with a sense of proportion and pragmatism" and is firmly opposed to decoupling.

Perhaps even more importantly, German industrial giants show no desire to withdraw. In fact, they are doubling down on their presence in China, with German investment in the country growing by 30 per cent in the first eight months of 2022.

Chemicals giant BASF, which last month shocked Berlin by announcing that it would scale down its operations in Europe, recently inaugurated the first plant in its planned US$10 billion megacomplex in Guangdong. Materials manufacturer Covestro recently broke ground on two new production facilities in Shanghai.

[5] First published on November 12, 2022 by SCMP and revised for this collection.

Last month, German daily Handelsblatt reported that technology giant Siemens is planning “massive investments” in China, particularly in industrial software and automation. In the auto sector, BMW opened a new US$2 billion plant in Shenyang in June and in October Volkswagen announced it would invest US$2.35 billion to co-develop assisted driving systems for electric vehicles with a start-up.

These investments reflect both the confidence of German companies in the Chinese market and the factors that have helped them succeed. German companies have strengths well aligned with long-term Chinese priorities such as sustainability, decarbonisation, industry upgrading and innovation.

They have capitalised on these advantages by pursuing an “in China, for China” strategy that involves long-term investment, localisation, setting up R&D centres in China, and forging partnerships with local entities to develop innovative solutions tailored for the Chinese market.

Germany’s industrial giants carry much weight in the country’s political economy and their long-term commitment to the Chinese market suggests that, if anything, the real momentum is towards more engagement with China, not less.

Other European companies will increasingly look to China as the economic winter bites elsewhere. Airbus won a multibillion-dollar string of deals with Chinese carriers recently and the European manufacturer is well placed to cement its lead in the world’s second-biggest aviation market, even as safety concerns and political tensions hit the fortunes of its American rival Boeing.

Scholz’s short visit has broken important ground; the current G7 chair is the first Western leader to visit China since the pandemic began. It is expected that French President Emmanuel Macron and other European leaders will also visit before long, bringing hope that shared economic interests and pragmatic cooperation can give fresh impetus to China-EU relations.

How Macron's Return as French President Could Be a Win for both the EU and China[6]

> Amid geopolitical uncertainty, the EU needs to come into its own as an independent force for peace and international cooperation, evidenced by Macron's description of the EU as a "balancing power" and cautioning against "ganging up" on China with the US.

On April 24, 2022, Emmanuel Macron beat Marine Le Pen to become the first French president since Charles de Gaulle to win re-election while holding a majority in parliament. Macron's victory confirms his place as the leading voice in the European Union after Angela Merkel's retirement as German chancellor in December.

In his second term, the French president will play a pivotal role in shaping foreign policy at a critical juncture for the European Union. Ukraine will no doubt dominate the agenda for some time, but how the EU recalibrates ties with Beijing and navigates the increasingly tense and complex US-China relationship remains a crucial question.

Macron's re-election is positive for the outlook on China-EU relations. Like many European politicians, his views on China have hardened in recent times. Fundamentally, though, he appears to share Merkel's pragmatic, pro-business stance and wants the EU to work more closely with China on shared interests, even as the two sides compete in other areas.

The outcome is preferable to a Le Pen victory, which would have cast doubt over France's role in Europe and the whole EU project at a time when the bloc needs a strong leader.

However, Macron will have his work cut out for him when it comes to improving relations with Beijing. Bilateral ties are at a low point, as seen in the recent EU-China summit, which failed to produce a joint statement or any specific agreement.

At the same time, European views of security and foreign policy are undergoing a sea change. For 16 years, Merkel was Europe's leading proponent of stronger ties with China.

Following her departure and the war in Ukraine, Europe's political landscape has shifted dramatically. Many of Merkel's views on foreign policy have been repudiated, and the coalition government of her successor Olaf Scholz seems determined to pursue a harder line on China.

Across Europe, there is a growing tendency to see the world in opposing camps, pitting democracies against autocracies. The widely held view that Beijing has not done enough to oppose Russia's invasion of Ukraine has further soured perceptions of China, which were already trending downwards. In 2020, unfavourable views of China in France had increased to 70 per cent from 42 per cent in 2002.

Since taking power, Macron has been vocal about his ambitions for the EU, which has long punched below its weight in the international sphere, to become a more independent and influential geopolitical player. Ukraine is a serious test for his push for EU "strategic autonomy" as it has turned concerns to security at home and reinvigorated the transatlantic alliance.

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[6] First published on April 28, 2022 by SCMP and revised for this collection.

In this age of geopolitical uncertainty, the need for the EU to come into its own as an independent force for peace and international cooperation is greater than ever.

Addressing the European Parliament on January 19, Macron spoke repeatedly of the need for the EU to be a "balancing power". He has cautioned the EU against rushing to join the United States in ganging up on China as it could lead to the "highest possible" conflict.

Macron is well aware of what can happen if great power relations are not managed well and antagonism is allowed to grow unchecked. In his second term, he should take concrete steps for the EU to fulfill its balancing role in the world. For example, he could encourage the formation of a China-EU-US trilateral mechanism in which the EU plays a mediating role.

Macron should also stand up against hawkish voices in Europe and continue to promote a multifaceted EU policy towards China that allows cooperation on shared interests despite contention or competition in other areas.

Climate change is one promising area. Both sides are committed to tackling climate change through multilateral efforts. At the practical level, there is also much to be gained from combining the EU's experience and holistic approaches to environmental protection with China's strengths as a supplier of low-carbon solutions.

Reforming multilateralism is another shared interest. In the wake of the COVID-19 pandemic and the war in Ukraine, we badly need to update and strengthen our global institutions. For example, China and the EU could boost efforts to forge consensus on reforming the World Trade Organization and develop a workable plan to revive the organisation.

Last but not least, Macron should work to deepen economic cooperation with China, particularly in areas such as infrastructure. Despite the stalling of the China-EU Comprehensive Agreement on Investment, bilateral economic ties have gone from strength to strength. Last year, China's trade with the EU rose by 27.5 per cent year on year to record highs as China remains the EU's largest trading partner.

Despite some reservations in Europe, there are great potential synergies between the Belt and Road Initiative and the EU's new connectivity strategy, the Global Gateway.

France was the first country to establish a third-party intergovernmental cooperation mechanism with China, under which Chinese and French firms jointly develop projects in third countries taking part in the Belt and Road Initiative. In Macron's last meeting with Chinese President Xi Jinping in February, the two countries unveiled seven new major joint projects in the fourth round of this scheme with a total value of more than US$1.7 billion.

Macron's second term begins at a time when security is increasingly winning out over economics as the driving logic of international cooperation. But as the history of the EU shows, economic cooperation is often the best foundation for both growth and security.

During the next five years, Macron should use his mandate to help chart an independent, pragmatic course for the EU that fulfills its potential to be a stabilising force for peace and prosperity during these times of uncertainty.